



BUSINESS TRACK · DETAILED SUBMISSION ROUND · 8-10 SLIDE DECK + WORKING PROTOTYPE

Building Meesho's Consumer-to-Manufacturer (C2M) Base

Screen on price, not scale. Pay for early conviction in impressions, not rupees. Make nothing until it is sold.

Team 23B0747 · Indian Institute of Technology Bombay

Prathmesh Walimbe · Krishna Kanta Mondal

Live prototype meesho-dice-c2m-iitb.vercel.app



Scan to open

Q2 · Market sizing and opportunity · How big is the base, and what does closing the price gap do for buyers and NMV?

ADDRESSABLE BASE · BOTTOM-UP

4.72 cr

Udyam-registered MSMEs, 98.9% micro

5.28 lakh

above micro (small + medium)

1.1%

1.85 lakh

in manufacturing

35%

55,451

making Meesho's categories

30%

19,408

own ≥ 3 of 4 cost levers (COI)

35%

11,645

inside the 12 screened clusters

60%

1,400

active C2M sellers by Year 4

12%

Right-hand figure = conversion from the row above. COI = Cost Ownership Index: raw material, production, scale, automation.

OPPORTUNITY LADDER · PRICE AND NMV IMPACT

	Pilot · Day 90	Scale · Q2+	Target · Year 4
Clusters · Factory Nodes	2 · 1	5 · 6	12 · 12
Active C2M sellers	60	450	1,400
Run-rate NMV	₹86 cr	₹641 cr	₹1,995 cr
Share of FY26 NMV	0.2%	1.5%	4.8%
Buyer savings / yr, gap 8–12%	₹7.4–₹12 cr	₹56–₹87 cr	₹173–₹272 cr
Contribution at 4.0% CM	₹3.4 cr	₹26 cr	₹80 cr

Buyer savings = NMV × g ÷ (1 – g) · g from the 8% gate floor to 12%, the low end of the 12–18% cost edge integration buys. Contribution uses the 4.0% Q4 FY26 exit rate.

4.8%

of FY26 NMV becomes structurally cheaper

₹173–272

₹ cr a year returned to buyers

₹80 cr

contribution a year at today's margin

WHY NOW · THE RATE-CARD MOAT IS GONE

Apr 2025

Nov 2025

Nov 2025

Mar 2026

8 Jul 2026

Amazon: no referral fee < ₹300

Flipkart: 0% < ₹1,000; Shopsy 0%

Amazon: 0% referral < ₹1,000

Amazon expands zero fees

Flipkart: 0% on all fashion, any price

Fees converge to zero.

The only price advantage a competitor's rate card cannot copy is a cost-structure advantage.

WHERE TO PILOT · CLUSTER AHP

Cluster	Cost	Dem	Ret	Node	Inst	Score
Tiruppur	5	5	4	4	5	4.68
Panipat	5	4	5	4	4	4.52
Ludhiana	4	3	4	4	4	3.74
Rajkot	4	3	5	3	3	3.70
Surat	2	5	2	5	3	3.28

Criteria: cost ownership, demand on Meesho, returns band, node feasibility, institutional partner (association).

Surat passes a scale screen and fails the price screen. Pilot where cost ownership, low returns and an association to recruit through coincide: Tiruppur (hosiery) and Panipat (home textiles).

10X · THE C2M FLYWHEEL

Market median falls for everyone

Factories price 8%+ below market

Badge + briefs bring orders

Volume lowers unit cost

Batches fill idle capacity

COMPOUNDS

Every lap lowers the median resellers are measured against. The price edge compounds instead of being paid for.

Sources: Udyam Registration Portal (team pull; 7.83 cr incl. Udyam Assist, PIB Feb 2026); Meesho FY26 results; Flipkart, Amazon, Business Standard, Outlook Business (2025–26); Round 1 cluster AHP and teardown. Run-rate NMV assumes the Round 1 Year-4 yield of ₹1.43 cr per seller.

11,645 manufacturers in 12 clusters can carry a real price gap. Capturing 12% by Year 4 adds ₹1,995 cr of NMV priced at least 8% below today's market: ₹173 cr to ₹272 cr a year back to buyers.

Q3 · Which manufacturers and categories carry a genuine, defensible price advantage, and which do not despite scale?

CATEGORY SCREEN · 12 SCREENED, 9 IN SCOPE

Category	Cluster	Floor	Idle	Ret.	Fr.
Unstitched saree & dress material	Erode, Bhiwandi	✓	✓	✓	✓
Home textiles: sheets, towels	Panipat, Solapur	✓	✓	✓	—
Hosiery, innerwear, socks	Tiruppur, Ludhiana	✓	—	✓	✓
Moulded plastic housewares	Rajkot, Daman	✓	✓	✓	—
Imitation jewellery	Rajkot, Coimbatore	✓	✓	—	✓
Steel kitchenware, utensils	Jagadhri, Wazirpur	✓	—	✓	—
Basic footwear, PU/EVA	Agra, Bahadurgarh	✓	✓	—	✓
Brass décor & lighting	Moradabad	✓	✗	✓	—
Bags, school bags	Nangloi, Kolkata	—	✓	—	✓
Ethnic wear	Surat (largest)	✗	✓	✗	✓
Fitted western, jeans	Gandhi Nagar, Bengaluru	—	✓	✗	✓
Electronics accessories	import-assembly	✗	✓	—	✓

Floor = cost floor below the market median · Idle = spare capacity · Ret. = low return band · Fr. = freight per rupee of value.
Rows 10–12 fail two tests: not now.

WHY CATEGORY BEATS SCALE · THE RETURN MATH

Return cost per unit kept	at ₹90 / return	at ₹150 / return
30% returns (fitted ethnic)	₹39 · 14.6% of AOV	₹64 · 24.3% of AOV
5% returns (home textiles)	₹5 · 1.8% of AOV	₹8 · 3.0% of AOV
Gap between the two categories	13 pp of AOV	21 pp of AOV

Returns × fee ÷ units kept. A wrong category swallows the whole 12–18% cost edge before a buyer sees it. ₹90 is our estimate; ₹150 is the seller-guide rate for ≤ 500 g.

PRICE TRUTH INDEX · THE SCREEN

Comparable-set median

Order-weighted landed price on delivered orders, per product type. SKUs need ≥ 10 orders.

SKU price gap

gap = (median – seller landed price) ÷ median

Dominant-seller fix

A seller with > 30% of a set’s orders is scored against the median without its own orders.

Catalogue gate

≥ 8% gap on ≥ 60% of live SKUs, sellers above ₹5 cr GMV. One loss-leader cannot buy the badge.

Badge + re-rank, with a holdout

Matched control, read at Day 30 (see Roadmap).

Worked example

SKU landed at ₹212 vs a ₹245 median → gap 13.5% ✓. Catalogue: 18 of 24 live SKUs clear = 75% ≥ 60% → badge. A seller with 3 SKUs at –30% and 21 at market clears 13% → no badge.

FOUR VERDICTS, FOUR ACTIONS

Verdict	Action
C2M-ready (62)	Badge + re-rank + Demand Brief
Scale without price (84)	No badge; offer a value-tier catalogue
Loss-leader pattern (18)	No badge; the catalogue gate holds
Near miss (16)	Factory Node cost help; re-score in 28 days

BIGGER IS NOT CHEAPER · FROM THE WORKING PROTOTYPE

Bigger is not cheaper

Each dot is a seller above ₹5 cr. Height is the median price gap of its live SKUs against the comparable-set median. Click a dot to inspect it.

C2M-ready (62)

Scale without price (84)

Near miss (16)

Loss-leader pattern (18)

Correlation between seller size and price gap is –0.18: among large sellers, more GMV does not mean a lower shelf price. 7 of the 10 largest sellers fail the gate.

180

sellers above ₹5 cr screened

62 · 34%

pass the gate

84 · 47%

scale without price

r = -0.18

size vs price gap

The six largest sellers screened (prototype, fictional names)

Seller	GMV	Median gap	Verdict
Moti Sarees · Indore	₹80 cr	–0.9%	Scale without price
Surya Distributors · Delhi	₹72 cr	–1.7%	Scale without price
Prem Footwear · Ahmedabad	₹65 cr	–7.9%	Scale without price
Bharat Shoe Co. · Bahadurgarh	₹60 cr	14.1%	C2M-ready
Neel Travel Gear · Surat	₹52 cr	–3.0%	Scale without price
Annapurna Knitwear · Ludhiana	₹51 cr	12.1%	C2M-ready

7 of the 10 largest fail: they are traders, and scale never became price.

Sources: Round 1 segment scorecard and platform teardown; seller-guide return fees (Shiprocket, Robnu, 2026). Prototype figures come from synthetic, seeded data (fictional sellers) and demonstrate the method, not Meesho’s actual distribution.

Screen on price, not size: badge a catalogue only when ≥ 60% of its live SKUs sit ≥ 8% below the comparable-set median. In the prototype, 7 of the 10 largest sellers fail that test.

Measure the funnel from qualified to graduated, score every seller daily, and act at fixed thresholds; a person steps in only after an automatic fix has failed.

Spend nothing until the price gap is proven: ₹0 capex to Day 30, ₹12 cr by Day 90 only if the gate says fund, and ₹22 cr in Year 1 for NPV + ₹156 cr.

Q8 · Risks and guardrails · What could go wrong, which rules keep it compliant, and where C2M takes Meesho next

⚠️ RISK REGISTER · LIKELIHOOD, IMPACT, EARLY SIGNAL, GUARDRAIL						
#	Risk	L	I	Early signal	Guardrail	Owner
1	The price gap was a promotion	H	H	Gate retention < 70% at D14	Day-30 stop rule; badge off at < 4% gap	Pricing
2	Loss-leader SKUs game the badge	M	M	2–3 SKUs 20%+ below, rest at market	Catalogue gate: ≥ 60% of live SKUs	Pricing
3	Quality falls with price	M	H	Quality returns > 1.5× norm	Suspend + QC; reinstate at ≤ 1.2× for 7 days	Category
4	Re-rank starves existing resellers	L	M	Category NMV vs pre-period	Badged ≤ 20% of category impressions	Growth
5	Capex before demand	L	H	Batch fill rate, node utilisation	No node before the Day-30 and Day-60 gates; partner warehouses first	Valmo
6	Export recovery pulls factories back	H	M	Tariff 50% → 18%; India–EU deal	Batches fill idle capacity around export runs; C2M as hedge	Category
7	Rate-card war escalates	H	L	Flipkart 0% on all fashion (Jul 2026)	Compete on cost structure (node, briefs), not fees	Strategy
8	Shein-style squeeze drives factories away	L	H	Attrition after price asks	Never ask for a price cut; the gate measures the gap that exists	Leadership
L = likelihood, I = impact. Why risk 8 matters: Shein pledged \$150 mn for 2,000 Brazilian factories and asked for ~30% price cuts; 336 signed and 1 is still producing. Our screen only rewards a gap that already exists.						

🔬 ASSUMPTIONS WE STILL HAVE TO VERIFY · BEFORE ANY CAPEX			
Assumption	Value used	How we verify	By
Seller fee per customer return	₹90 (team estimate) to ₹150 (seller guides)	Pull from three live supplier panels	Day 7
Factory Node handling and forward cost	₹9 + ₹42 per unit (proposal)	Partner-warehouse quotes, Tiruppur	Day 45
Pre-order uptake at ₹20 off, 7-day delivery	55–70% of the suggested batch	A/B test in brief pin-codes	Day 60
Order lift while a grant is active	1.35× (simulation)	Holdout on the grant rule	Day 30

🛡️ COMPLIANCE BY DESIGN · MARKETPLACE, CONSUMER, DATA, TAX		
Rule	What it requires	Our design
FDI Press Note 2 (2018)	Marketplace may not own or control seller inventory	Seller keeps title at the node; Valmo sells warehousing at arm’s length
FDI Press Note 2 (2018)	Fair, non-discriminatory services; no exclusivity	Badge and grants are published rules any seller can meet; batches fit around B2B work
E-Commerce Rules, 2026 amendment	From 1 Jan 2027: ranking parameters by importance; sponsored listings labelled	Publish the price-gap badge as a ranking parameter; grants are organic, never sold
Dark-pattern guidelines (2023)	No false urgency or hidden terms; yearly self-audit	“Ships in 7 days, ₹20 off” shown before the buyer pays
DPDP Act (2023)	Protect personal data	Demand Briefs use district-level aggregates only
GST	Stock held at a third-party site	Node added as the seller’s additional place of business
Prepayment	Advances must not become inventory purchase or control	Advance via an NBFC partner against confirmed buyer orders
Design responses, not legal advice: Meesho legal confirms each row before the pilot starts.		

📍 THE 10X PATH · FROM PILOT TO SUPPLY ENGINE	
Year 5+	Factory brands on Meesho Mall “Value brands ... for a billion people” (Aatrey): graduates brand their own lines
Year 4	12 clusters • 1,400 sellers • ₹1,995 cr 4.8% of FY26 NMV structurally cheaper
Year 2	5 clusters • 6 nodes Briefs and batches become the default onboarding path
Year 1	2 clusters • 60 → 450 sellers Prove the gap at ₹0 capex; gate the money

Sources: DPIIT Press Note 2 (2018) via Khaitan & Co, Lexology; Consumer Protection (E-Commerce) Amendment Rules 2026 via LexOrbis (notified 9 Sep 2026, in force 1 Jan 2027); Meesho Q4 FY26 call; Reuters via FashionNetwork; Flipkart newsroom; KrASIA.

Every risk has a tripwire in the rulebook and a compliance answer built in; the long game is graduated factories becoming Meesho Mall value brands.

Q9 · Operating model · How Meesho builds, staffs and defends it, and how robust the unit economics are

🏠 SYSTEM ARCHITECTURE · EXISTING DATA → FIVE ENGINES → FOUR SURFACES

DATA MEESHO ALREADY HOLDS

Catalogue
live SKUs, product type, landed price

Orders
delivered, NMV, RTO, return reason

Operations
dispatch time, in-stock

Exposure
impressions by pin-code

NEW ENGINES · BATCH + RULES

Price Truth Index
weekly · gate and badge

Demand Brief
weekly · district demand

Health Score
daily · five signals

Rulebook
event-driven · nine rules

Experiment readout
Day 30 · fund, tighten, stop

SURFACES

Search ranking + badge
capped at 20% of impressions

Supplier panel + WhatsApp
brief, batch, one-tap commit

Valmo Factory Node
bulk in, unit orders out

Category-manager queue
exceptions only

New build: four scheduled jobs and one rules engine on tables Meesho already has. No new data integration; the prototype runs all five.

👤 TEAM AND OWNERSHIP · PROPOSED

Workstream	Owner	Pilot	Wave 2
Price Truth Index, badge, experiment	Pricing + data science	2	2
Demand Brief, Health Score, rulebook	Data science	2	3
Supplier panel + WhatsApp flows	Supplier product	1	2
Cluster partnerships	Category (1 per cluster)	2	5
Factory Node operations	Valmo + partner warehouse	1	3
Prepayment via lending partner	Finance	0.5	1
Total people		8.5	16

People scale with clusters, not sellers: escalations run at ~910 sellers per category manager, so 1,400 sellers need about two reviewers, not an account team.

🌐 WHY RIVALS CANNOT COPY IT QUICKLY

	Value demand ₹200–300	Tier-2+ reach	Zero fees	Bulk inbound store	Demand data to factories	Pre-order batches
Meesho + C2M	✓	✓	✓	✓	✓	✓
Flipkart / Shopsy	-	✓	✓	✓	-	✗
Amazon	-	-	-	✓	-	✗
IndiaMART (B2B)	✗	-	✗	✗	✗	-
Offline distributor	-	✓	✗	✓	✗	✓

Each rival covers one or two columns. Only the full stack joins value demand to factory capacity. A rate card can be copied in a quarter; this takes years. ✓ yes · - partly · ✗ no.

📊 STRESS TEST · KAVIN KNIT MILLS PRICE GAP

0%4%8%12%16%

Margin 9% → 12%

Return fee ₹70 → ₹150

Returns 8% → 12%

Market median -5%

Making cost +10%

RTO 14% → 20%

Forward freight ₹42 → ₹55

10.3%10.1%9.6%8.7%8.7%8.3%5.9%

gate 8%base 13.3%

Clears the gate in 6 of 7 single-factor stresses. Freight is the thin spot, so partner-node quotes (Day 45) come before any node capex.

✅ BUILT ON WHAT MEESHO RUNS

🚚 Valmo

handles 50–55% of deliveries; a node is one more lane

🌐 264 mn buyers

the demand signal behind every brief

⚡ Ads engine

impression inventory for grants; ad catalog +40% YoY

₹ 0% commission

no fee change needed to make C2M pay

🏠 Meesho Mall

the graduation path for factory brands

Sources: Meesho Q4 FY26 earnings call (Valmo share, ads, Meesho Mall); Flipkart and Amazon seller-fee announcements (2025–26); Tech Buzz China (Temu); prototype economics model for the stress test. Team sizes are proposals; competitor marks are team assessment from public information.

Five engines on tables Meesho already has, a pilot team of 8.5, and a stack rivals cannot copy with a rate card; Kevin still clears the 8% gate in 6 of 7 stress tests.

Q10 · Working prototype · Does it actually run? Every rule on this deck, live

1 · PRICE TRUTH INDEX

Bigger is not cheaper
Each dot is a seller above ₹5 cr. Height is the median price gap of its live SKUs against the comparable-set median. Click a dot to inspect it.

● C2M-ready (62) ● Scale without price (84) ● Near miss (16) ▲ Loss-leader pattern (18)

Correlation between seller size and price gap is -0.18: among large sellers, more GMV does not mean a lower shelf price. 7 of the 10 largest sellers fail the gate.

180 screened · 62 pass · 7 of the 10 largest fail

2 · DAY-30 READOUT

DAY-30 DECISION · BASE CASE
Fund clusters and Factory Nodes.
Badged sellers beat the matched holdout by 18.2% on NMV per live SKU, above the 12% bar, and 87% still clear the gate at D14. Move to days 31–90 in full.

► **Badged NMV per live SKU beats holdout by ≥ 12% (interval above zero) → fund clusters and nodes**

- Lift positive but under 12% → tighten gate to 10% and re-run 28 days
- No lift, or under 70% of badged sellers still clear the gate at D14 → stop

NMV per live SKU vs holdout

+18.2%

95% interval +15.1% to +21.5%

Badged sellers still clearing at D14

87%

floor 70%

Badged share of impressions

20%

highest category - cap 20%

Category NMV vs pre-period

+0.6%

guardrail: must not fall

Sellers in the test

30 + 32

badged + holdout

NMV per live SKU, indexed to the pre-period
Mean across sellers; 100 = the 14 days before the badge went on

Gate retention
Share of badged sellers whose catalogue still passes the gate

Base +18.2% (CI +15.1% to +21.5%) → fund · weak +4.7% → tighten · decay 40% retained → stop

3 · SELLER HEALTH

Kavin Knit Mills ★
TPR-0001 · Tiruppur · Hosiery · 14 SKUs · day 46 since onboarding

✓ Badge active ✓ Graduate

Health score **99** of 100

Price gap held ×0.3 100
Order pace vs cohort ×0.25 100
Quality returns ×0.2 100
On-time dispatch ×0.15 95
In-stock ×0.1 100

Health score by day
Markers show when a rule fired

Cumulative orders vs cohort
Band is the 25th–75th percentile of the pilot cohort curve

60 sellers scored daily · 90 automated : 3 human · Kavin graduates on D37

4 · MANUFACTURER APP

Price check ₹213 vs ₹245 → brief → batch of 1,210 → one-tap WhatsApp commit

HOW MEESHO WOULD RUN IT

Feed	Used for
Catalogue: SKU, product type, landed price	Median, gate, badge
Orders: delivered, NMV, RTO, return reason	Brief, experiment, quality
Operations: dispatch time, stock	Health Score, remedies
Exposure: impressions by pin-code	Grants, 20% cap

One daily batch job plus event-driven rules. No new data integration.

PROOF, LIVE

Built for this submission: React + Recharts, static site. 261 synthetic sellers and 4,415 SKUs across 9 categories, a 60-seller pilot, fixed seed, fictional names. Four model tests run before every deploy. All assumptions live in one config file.

The prototype runs the whole loop on synthetic data (screen, experiment, daily score, manufacturer app), and every rule in it would run unchanged on Meesho’s delivered-order and listing tables.